Argentina´s Central Bank is promoting a proof of concept based on Blockchain technology.

This proof of concept is focused on implementing a decentralized platform powered by RSK technology that would allow for end-to-end traceability of account debit claims.

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Within the framework of the 2019 Financial Innovation Roundtable (MIF, Spanish acronym) of the Central Bank of Argentina (BCRA, Spanish acronym), the Blockchain Group, which comprises IOV Labs, Sabra Group, Banco de la Provincia de Córdoba, BBVA, ICBC, Banco Santander, BYMA, Interbanking and Red Link, has worked through 2019 and early 2020 to design and execute a proof of concept for implementing a decentralized system solution to handle direct account debit claims made by customers.

The different actors in the financial system will have access to this solution based on RSK Smart Contract technology and they will be able to make transactions in a standardized, reliable and secure manner, achieving an end-to-end traceability for managing each claim while keeping track of the bank account updates entered into the system.

"We are convinced that, by implementing this type of platform, the financial system will be able to build an integral, collaborative ecosystem in line with the current modern technological advances and on par with the world's most innovative financial systems. Given the global circumstances we are facing, we need now more than ever to use technology in order to optimize processes and provide better services to our citizens."

- Diego Gutiérrez Zaldívar, CEO of IOV Labs

This challenge required the collaboration between different industry actors, such as banks, clearing houses, financial agents and providers of this technology, to explore the use of Blockchain technology for Inter-entity Messaging. This initiative seeks to help the financial system and the industry to understand the technology and its potential benefits better, through practical experimentation. The ultimate goal is to develop simpler and more efficient alternatives to the current clearing systems.

Beyond technical experimentation and proof of concept, one of the goals was to determine the commercial viability and the value of the Blockchain-based network. A good part of that experimentation demonstrated that Blockchain, beyond its known use as crypto-currency support, along with the possibility of using Intelligent Contracts, greatly broadens this technology's range of application.

The solution is currently being tested by participating banks to determine their ability to solve process integration problems between banks and system actors. Once the testing stage is over, it will be determined whether other Banks in the market will participate and whether other potential network uses will be defined.

About IOV Labs

IOV Labs is focused on developing the platforms necessary for a new blockchain-based financial system which will enable global financial inclusion and which will close the gap between these emerging technologies and their mass adoption.
At this time, the company is developing the RSK Smart Contract Network and the RIF and Taringa! platforms. The RSK network is the world's most secure smart contracts platform because it relies on the Bitcoin secure network through merged mining. RIF is a set of open and decentralized infrastructure protocols that allow for faster, easier and more scalable development of distributed applications (dApps) within a unified environment, which, in turn, would enable mass adoption of Bitcoin and RSK. Taringa is the largest Spanish-speaking social media network in Latin America, with 30 million users and 1,000 active online communities. By integrating Bitcoin, RSK and RIF, it will help shape the Internet of the Future, where people will have full control of their information and assets.

About Grupo Sabra

Grupo Sabra is a software application development company based in Argentina. The company focuses on integrating traditional technology with distributed ledger technologies and smart contracts. Grupo Sabra has an expert team of in-house software development and blockchain developers that have been building solutions for our growing customer base. The team has been building and implementing solutions for decentralized platforms during the last 5 years, integrating those capabilities with Blockchain solutions for corporate clients and governments.